May/June 2023 Paper 02

Question 1

1(a) Sources of conflict

List FOUR sources of conflict that may arise within an organization. (4 marks)

- Poor working conditions, such as low pay, long hours or unsafe equipment.
- Disagreements between different departments or functional areas of the business over budgets, resources or responsibilities.
- Personality clashes and intrapersonal differences between workers, or between workers and supervisors.
- Resistance to changes in the way the organisation operates, such as new technology, new rules or restructuring.

1(b) Employee strategies during conflict

Describe EACH of the following strategies used by employees to gain the upper hand during periods of conflict. (i) Work to rule (2 marks); (ii) Picketing (2 marks); (iii) Strike action (2 marks)

(b)(i) Work to rule

Work to rule is a strategy in which workers carry out only the tasks listed in their job descriptions and follow every rule and procedure to the strict letter. They refuse extra duties, overtime or shortcuts that are normally taken to keep things running smoothly. This deliberately slows down production and shows management how much extra effort the workers usually put in, which puts pressure on managers to settle the dispute.

(b)(ii) Picketing

Picketing is a strategy in which workers gather peacefully outside the workplace, usually at the entrance, holding placards and banners that explain their grievances. The aim is to inform the public, customers and other workers about the dispute, to win their support and to discourage people from crossing the picket line to do business with the company. The publicity puts pressure on management to negotiate.

(b)(iii) Strike action

Strike action is a strategy in which workers, usually through their trade union, agree to stop working completely for a period of time until their demands are met. The full or partial shutdown causes loss of production and revenue for the business, which often forces management back to the negotiating table to settle the dispute on terms more favourable to the workers.

1(c) Management conflict resolution strategies

Outline TWO strategies that could be used by management to resolve conflict within an organization. (4 marks)

Negotiation through a grievance procedure

Management can set up a clear, step-by-step grievance procedure that workers must follow when they

have a complaint. The complaint is heard first by the immediate supervisor and, if not settled, moves up to senior management and the trade union. By talking openly and looking for compromise at each stage, both sides can usually reach an agreement that solves the problem peacefully.

Mediation or arbitration by a neutral third party

When the two sides cannot agree by themselves, management can call in a neutral third party. A mediator listens to both sides and suggests a settlement that both can accept, while an arbitrator hears evidence and makes a binding decision that both sides agree in advance to follow. Bringing in an outsider helps to settle the dispute fairly and quickly.

1(d) Legal or ethical principles

Explain TWO legal or ethical principles that business owners should adopt in the operations of a business. (6 marks)

Honesty in advertising and dealings with customers

Business owners should make sure that all advertising, prices and product labels are truthful, so that customers know exactly what they are paying for. For example, a supermarket should not advertise a product at a special price and then charge a higher price at the cash register, and a food producer should not put 'sugar free' on a label if the product still contains sugar. Acting honestly avoids legal action under consumer protection laws, builds customer trust and supports long-term sales.

Paying taxes and obeying the laws of the country

Business owners must register the business properly and pay all taxes due, such as income tax, business tax, value added tax and National Insurance for staff. They should also follow employment, environmental and health and safety laws. For example, a small restaurant must keep proper records of sales and pay over the value added tax it collects to the tax authority on time. Following the law avoids fines, court action and damage to the reputation of the business.

Question 2

2(a) Definition of entrepreneur

Define the term 'entrepreneur'. (2 marks)

An entrepreneur is a person who organises the other factors of production - land, labour and capital - to set up and run a business, taking the risks involved in the hope of making a profit. The entrepreneur comes up with the business idea, raises the capital, hires the workers and makes the key decisions about how the business will operate.

2(b) Characteristics of a typical entrepreneur

List THREE characteristics of a typical entrepreneur. (3 marks)

- Willingness to take calculated risks with money, time and effort in order to start and grow a business.
- Creativity and innovation, by spotting new opportunities and finding fresh ways to solve problems or meet customer needs.

- Strong leadership and decision-making skills, so the entrepreneur can guide workers and respond quickly to challenges.

2(c) Collateral

(i) Define the term 'collateral'. (2 marks); (ii) List THREE types of collateral. (3 marks)

(c)(i) Definition of collateral

Collateral is something of value that a borrower offers to a lender as security for a loan. If the borrower fails to repay the loan as agreed, the lender has the legal right to take and sell the item of collateral in order to recover the money owed.

(c)(ii) THREE types of collateral

- Land or buildings (real estate) owned by the borrower.
- Motor vehicles registered in the borrower's name.
- Fixed deposits, shares or insurance policies held by the borrower at a financial institution.

2(d) Government regulations for entrepreneurs

State TWO government regulations with which the entrepreneur must comply when establishing a business locally. In your response, provide an example of EACH regulation. (4 marks)

Business registration regulations

The entrepreneur must register the business name and obtain a certificate of registration from the office that records businesses in the country. For example, in Trinidad and Tobago a sole trader must register the business name with the Companies Registry under the Registration of Business Names Act before trading.

Tax regulations

The entrepreneur must register the business with the tax authority and pay all required taxes. For example, the business must obtain a Board of Inland Revenue (BIR) number and a Value Added Tax (VAT) number once sales reach the threshold, so that taxes are collected and paid over to the government on time.

2(e) Entrepreneurship and economic development

Explain TWO ways in which entrepreneurship contributes to the economic development of a country. (6 marks)

Creation of jobs and reduction of unemployment

Entrepreneurs start new businesses that hire workers in roles such as production, sales, accounts and delivery. As more people earn an income, unemployment falls and household living standards rise. The government also collects more income tax and pays out less in welfare, leaving more money for schools, hospitals and infrastructure, all of which support the wider development of the country.

Innovation, exports and increased GDP

Entrepreneurs introduce new products, services and methods, such as agro-processing, software development and creative industries, which often replace imports and earn foreign exchange when sold

abroad. The extra output adds directly to the country's gross domestic product. Successful entrepreneurs reinvest their profits in expansion and training, and they inspire others to start businesses, which keeps the economy growing and developing over time.

Question 3

3(a) Factors when packaging goods

Identify TWO factors that must be considered when packaging goods for resale. (2 marks)

- Protection of the product, so that the package is strong enough to keep the goods safe from damage, dirt and tampering during transport and storage.
- Cost of the packaging material, since the package must be affordable enough to keep the final selling price competitive.

3(b) Salespersons and sales promotion

(i) List FOUR qualities of successful salespersons. (4 marks); (ii) Describe TWO sales promotion techniques. (4 marks)

(b)(i) FOUR qualities of successful salespersons

- Good communication skills, including the ability to listen carefully and explain clearly.
- Sound product knowledge, so the salesperson can answer customer questions confidently.
- A pleasant, polite and patient personality that puts customers at ease.
- Honesty and integrity, so customers feel they can trust the salesperson's advice.

(b)(ii) TWO sales promotion techniques

Discounts and special offers

The business reduces the regular price of a product for a short period or offers deals such as 'buy one get one free' and 'two for the price of one'. The lower price encourages customers to try the product, to buy in larger quantities and to choose the firm over its competitors, which boosts sales quickly.

Free samples and demonstrations

The business gives away small free samples of the product or arranges in-store demonstrations where customers can see and try the product. Once customers have tasted, used or seen the product working, they are much more likely to buy it, especially when it is a new or unfamiliar item.

3(c) Cash discount vs trade discount

Distinguish between a 'cash discount' and a 'trade discount'. (4 marks)

Cash discount

A cash discount is a reduction in the amount owed that the seller offers to a buyer who pays the bill within an agreed period, usually shorter than the normal credit term. For example, the seller may offer a five per cent cash discount if the invoice is paid within ten days instead of the usual thirty days. The aim is to encourage prompt payment and improve the seller's cash flow.

Trade discount

A trade discount is a reduction in the catalogue or list price of goods that the seller gives to other businesses, such as wholesalers or retailers, who buy in bulk for resale. The discount allows these traders to make a profit when they sell the goods on at the recommended retail price. Unlike a cash discount, it is given because of the type of buyer and the size of the order, not because of how quickly the bill is paid.

3(d) Copyright and trademark

(i) Kylie created a new rhythm of Caribbean soca beats and wants to sell it online to overseas producers. Explain to Kylie the importance of obtaining the copyright for her music. (3 marks); (ii) Jovan excels in the culinary arts. A new local nut was discovered with high nutritional value and he created a unique dessert, 'NuttyJo', for the young and health conscious. Explain to Jovan the value of obtaining a trademark for his product. (3 marks)

(d)(i) Importance of copyright for Kylie's music

Once Kylie obtains copyright for her new soca rhythm, the law gives her the exclusive right to copy, perform, sell and licence the music for a long period, often the lifetime of the author plus several decades. If anyone uses her music online or in a song without her permission, she can take legal action and claim damages. Copyright also makes it easier for her to earn royalties when overseas producers use her music, since they must first pay her for the right to use it.

(d)(ii) Value of a trademark for Jovan's NuttyJo

By registering 'NuttyJo' as a trademark, Jovan gets the exclusive right to use that name and logo for his dessert, and he can stop other businesses from using a similar name to confuse customers. The trademark helps health-conscious customers to recognise his unique dessert quickly on shelves and online, builds brand loyalty and adds value to the business if Jovan later wants to sell or franchise it. He can also take legal action against anyone who tries to copy or imitate the brand.

Question 4

4(a) Functions of intermediaries

State TWO functions of EACH of the following intermediaries in the chain of distribution. (i) Retailers (2 marks); (ii) Wholesalers (2 marks)

(a)(i) Retailers

- Buy goods in small quantities from wholesalers and sell them in even smaller amounts to the final consumer.
- Provide a convenient location, display and customer service so that consumers can choose and pay for goods easily.

(a)(ii) Wholesalers

- Buy goods in bulk from manufacturers and break the bulk into smaller quantities for sale to retailers.
- Store and transport goods, holding stock in warehouses so retailers can order what they need without delay.

4(b) Other links in the distribution chain

Identify TWO links in the distribution chain, other than retailers and wholesalers. (2 marks)

- Producer or manufacturer, who actually makes the goods at the start of the chain.
- Consumer, who is the final user of the goods at the end of the chain.

4(c) Suitable types of transportation

Identify the MOST suitable type of transportation for EACH of the following products. (i) Meat products from local farm to restaurant (1 mark); (ii) Bricks from construction company to building site (1 mark); (iii) Crude oil from oilfield to refinery (1 mark); (iv) Cars from Country A to Country B (1 mark)

- Meat products from local farm to restaurant: refrigerated truck (road transport).
- Bricks from construction company to building site: heavy-duty truck (road transport).
- Crude oil from oilfield to refinery: pipeline.
- Cars from Country A to Country B: ship (sea transport).

4(d) Problems in distribution

List FOUR problems that may occur in the distribution of goods. (4 marks)

- Damage to goods during loading, transport or unloading, especially fragile or perishable items.
- Theft and pilferage of goods while they are in transit or in storage.
- Delays caused by bad weather, traffic, mechanical breakdowns or industrial action.
- High transport and insurance costs, which raise the final price of the goods.

4(e) Measures to minimize distribution challenges

Explain TWO measures that can be implemented to minimize challenges that may occur in the distribution of goods. (6 marks)

Use of proper packaging and insurance

Goods can be packed in strong, well-cushioned containers, with fragile items wrapped and sealed and perishable items kept in refrigerated containers. The business should also take out goods-in-transit insurance, which pays compensation if goods are damaged, lost or stolen on the journey. Together these measures reduce the risk of loss and protect the financial position of the business.

Use of GPS tracking, route planning and reliable logistics partners

By installing GPS tracking devices on delivery vehicles and using route-planning software, the business can pick the fastest, safest routes, monitor where every shipment is in real time and respond quickly to delays. Choosing reputable shipping and trucking companies, with proper licences and trained drivers, also reduces accidents, theft and lateness, and gives customers a more reliable delivery service.

Question 5

5(a) Standard of living and quality of life

(i) Define the term 'standard of living'. (2 marks); (ii) Identify TWO factors that determine a country's standard of living. (2 marks); (iii) Define the term 'rate of infant mortality' as a factor of quality of life. (2 marks)

(a)(i) Standard of living

Standard of living refers to the level of wealth, comfort and material goods that the average citizen in a country enjoys. It is usually measured by indicators such as real per capita income, the quality of housing, the availability of food, education and health care, and the general level of consumer goods.

(a)(ii) TWO factors that determine standard of living

- The level of real per capita income, which shows the average buying power of citizens after adjusting for inflation.
- The availability and quality of public services such as education, health care, water and electricity.

(a)(iii) Rate of infant mortality

The rate of infant mortality is the number of babies, out of every one thousand live births, who die before reaching the age of one year. A high infant mortality rate suggests a poor quality of life with weak health care and nutrition, while a low rate suggests good medical services and a higher quality of life.

5(b) Measures of national income

Describe EACH of the following measures of national income. (i) Gross national product (GNP) (2 marks); (ii) Gross domestic product (GDP) (2 marks); (iii) Per capita income (2 marks)

(b)(i) Gross national product (GNP)

Gross national product (GNP) is the total money value of all the goods and services produced by the citizens of a country in one year, whether they are produced inside the country or abroad. It includes the income earned by nationals working overseas but excludes the income earned by foreigners working inside the country.

(b)(ii) Gross domestic product (GDP)

Gross domestic product (GDP) is the total money value of all the goods and services produced inside a country's borders in one year, no matter who owns the resources. It includes output produced by foreign firms operating in the country but excludes output produced by nationals working overseas.

(b)(iii) Per capita income

Per capita income is the average income earned per person in a country in one year. It is calculated by dividing the total national income (GNP or GDP) by the total population. It gives a rough idea of the standard of living, since it shows how much income would be available for each person if income were shared equally.

5(c) Reasons for international trade

State TWO reasons why countries engage in international trade. (2 marks)

- To obtain goods and services that they cannot produce themselves, or cannot produce in large enough quantities, such as machinery, medicines or certain foods.
- To earn foreign exchange by selling exports, which can then be used to pay for imports and to repay foreign debts.

5(d) Foreign investments and Caribbean countries

Explain TWO ways in which foreign investments could positively impact Caribbean countries. (6 marks)

Creation of jobs and transfer of skills

When foreign companies invest in Caribbean countries, they often build factories, hotels and offices that employ local workers in roles such as construction, hospitality, technicians and managers. The foreign firms also bring in modern equipment, training programmes and management methods, so local workers learn new skills that they can later use to start their own businesses. As more people earn an income and gain skills, the standard of living rises and unemployment falls.

Increased foreign exchange and government revenue

Foreign investments bring in large amounts of foreign currency, such as US dollars and pounds sterling, when companies set up operations and when they export goods like petroleum, bauxite or tourism services. This foreign exchange improves the balance of payments of the country and helps to keep the local currency stable. The government also collects more revenue through company tax, import duty and personal income tax from the new workers, which it can use to provide better roads, schools and hospitals.